



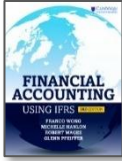
CASH FLOWS

RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

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WELCOME



FOUNDATIONS

Class 1

Introducing financial accounting

Class 2

Conceptual framework

Class 3

Analysing transactions (1/2)

Class 4

Analysing transactions (2/2)

ANALYSIS

Class 5

Reporting and analysing cash flows

Class 6

Analysing and interpreting financial statements

OPERATIONS

Class 7

Revenues & receivables

Class 8

Inventories and current liabilities

INVESTING & FINANCING

Class 9

Long-term operating assets

Class 10

Financial investments

Class 11

Debt and equity
Course review

CLASSWORK (~ 5 to 8 hours)

BEFORE CLASS (~ 1.5 hours):

- ☐ (60 min) Read the textbook relating to the learning outcomes for this class. Focus on pp. 482-498.
- ☐ (30 min) Prepare “rough” point-form answers to the exercises. Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify concepts.

ONGOING WORK (~ 0.5 hours)

- ☐ (30 min) Submit the Weekly Assignment on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 11 (pp. 482-507)

- ☐ LO1 | Explain the purpose of the statement of cash flows and classify cash transactions by type of business activity: operating, investing, or financing. (pp. 482-487)
- ☐ LO2 | Construct the operating activities section of the statement of cash flows using the direct method. (pp. 487-496)
- ☐ LO3 | Reconcile cash flows from operations to net income and use the indirect method to compute operating cash flows. (pp. 496-498)
- ☐ LO4 | Construct the investing and financing activities sections of the statement of cash flows. (pp. 498-507) – focus on pp. 498 – 500 only
- ☐ Compute and interpret Free Cash Flow (FCF) metric – covered in lecture/workbook

WARM-UP

Financial statement analysis – four lenses:

1.

STRATEGIC

Identify profit potential & business risks
2.

ACCOUNTING

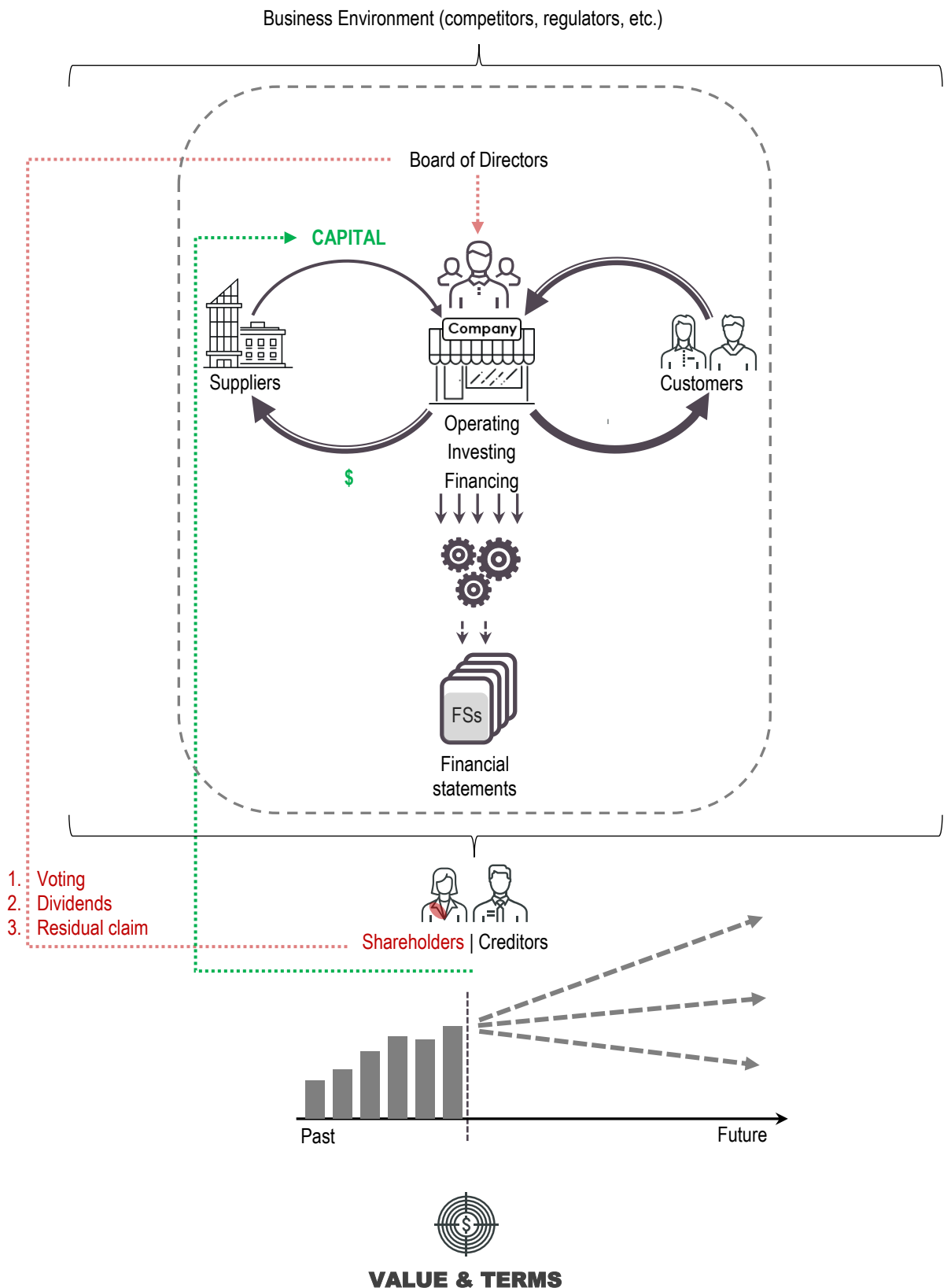
Evaluate quality & adjust to “reality”
3.

FINANCIAL

Evaluate performance, risk, & sustainability
4.

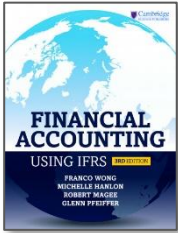
PROSPECTIVE

Forecast & value



CASH FLOW ANALYSIS

#1 | Statement of cash flows is a critical source of information about future prospects.



Chapter 11 | LO 1

Explain the purpose of the statement of cash flows and classify cash transactions by type of business activity: operating, investing, or financing. (pp. 482-487)

- ☐ The purpose of the cash flow statement is to describe the changes in the cash balance and explain the **sources and uses of cash** based on business activities.
- ☐ The statement of cash flows helps us assess organization's financial health, including the following:
 - ☐ Ability to generate future cash flows
 - ☐ Ability to meet its future obligations and pay dividends
 - ☐ Company's need for external financing
 - ☐ Earnings quality (and differences between earnings and cash flows from operations)
- ☐ Cash flows tend to follow general patterns based on the stage in the organization's life cycle:

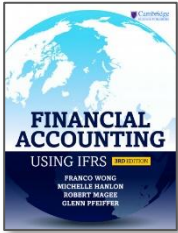
CASH FLOW	STAGE IN FIRM LIFE CYCLE				
	Introduction	Growth	Maturity	Shake-out	Decline
Operating	-	+	+	+/-	-
Investing	-	-	-	+/-	+
Financing	+	+	-	+/-	+/-

EXERCISE 1: Firm life cycle

REFLECT: Use the financial information provided to identify each firm below as one of the following companies: Ferrari, Rivian Automotive, or Tesla. All numbers in millions of \$USD or €, and relate to fiscal year 2025. Do you notice any patterns?

Financial information:	(1)	(2)	(3)
Revenues	5,387	7,146	94,827
Cost of sales	5,243	3,453	77,733
Gross profit	144	3,693	17,094
Other expenses	3,770	2,093	13,239
Net income	(3,626)	1,600	3,855
Gross profit %	3%	52%	18%
Net profit %	-67%	22%	4%
Cash from operating activities (CFO)	(779)	2,349	14,747
Cash from investing activities (CFI)	(1,828)	(944)	(15,478)
Cash from financing activities (CFF)	886	(1,667)	1,139

#2 | Cash flows are classified based on activity: operating, investing, or financing.



Chapter 11 | LO 1, 4

- ☐ Explain the purpose of the statement of cash flows and classify cash transactions by type of business activity: operating, investing, or financing. (pp. 482-487)
- ☐ Construct the investing and financing activities sections of the statement of cash flows. (pp. 498-507)

Sources (inflows) and uses (outflows) of cash map to the following types of activities:

- ☐ **Cash flows from operating activities (CFO) → payments and receipts relating to:**
 - ☐ Buying and selling products (i.e. inventory) and providing services
 - ☐ Buying and using products and services for core operations (e.g. labour, rent, etc.), including expenditures that relate to administrative functions, research and development, taxes, etc.
- ☐ **Cash flows from investing activities (CFI) → payments and receipts relating to:**
 - ☐ Buying and selling long-lived assets that support core operations (e.g. PPE)
 - ☐ Buying and selling financial assets (e.g. shares and debt of other companies)
- ☐ **Cash flows from financing activities (CFF) → payments and receipts relating to:**
 - ☐ Raising money from investors by issuing shares
 - ☐ Distributing earnings by paying dividends
 - ☐ Borrowing money and repaying debt

IFRS provides more flexibility over classifying interest and dividends:

	IFRS	U.S. GAAP and Accounting Standards for Private Enterprises
Interest received	Operating or investing	Operating
Interest paid	Operating or financing	Operating
Dividends received	Operating or investing	Operating
Dividends paid	Operating or financing	Financing
Taxes paid	Generally operating, but a portion can be allocated to investing or financing	Operating

Unless otherwise stated, you can assume classification based on most popular options (i.e., CFO for interest received and paid, CFO dividends received, CFF for dividends paid, and CFO for taxes).

**EXERCISE 2.1: Total Health Limited (THL)**

In Class 3, we discussed Total Health Limited, a new company selling health and fitness products.

REFLECT: Classify cash flows from transactions as operating (CFO), investing (CFI), or financing (CFF).

July Transactions

Ref.	Description	Operating (CFO)	Investing (CFI)	Financing (CFF)
1.1	On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). They received 500 common shares.			
1.2	On July 15, THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.			
1.3	On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.			
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.			

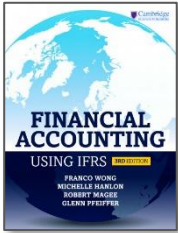
**EXERCISE 2.2: Total Health Limited (THL)**

REFLECT: Use the information above to construct THL's cash flow statement for the month of July. Consider the relationship between the statement of cash flows and the balance sheet.

Total Health Limited Statement of Cash Flows For the month ended July 31
Operating cash flows:
Operating cash flows
Investing cash flows:
Investing cash flows
Financing cash flows:
Financing cash flows
Net cash flows
Cash, July 1
Cash, July 31

Total Health Limited Balance Sheet As at July 31	Opening balance, July 1	Ending balance, July 31	\$ change
ASSETS			
Current assets			
Cash	\$ -	\$ 10,000	\$ 10,000
Inventory	\$ -	\$ 3,000	\$ 3,000
Total current assets	\$ -	\$ 13,000	\$ 13,000
Equipment	\$ -	\$ 6,000	\$ 6,000
TOTAL ASSETS	\$ -	\$ 19,000	\$ 19,000
LIABILITIES			\$ -
Current liabilities			\$ -
Accounts payable	\$ -	\$ 3,000	\$ 3,000
Total current liabilities	\$ -	\$ 3,000	\$ 3,000
Bank loan	\$ -	\$ 6,000	\$ 6,000
TOTAL LIABILITIES	\$ -	\$ 9,000	\$ 9,000
EQUITY			\$ -
Share capital	\$ -	\$ 10,000	\$ 10,000
Retained earnings	\$ -	\$ -	\$ -
TOTAL EQUITY	\$ -	\$ 10,000	\$ 10,000
TOTAL LIABILITIES AND EQUITY	\$ -	\$ 19,000	\$ 19,000

#3 | Direct method provides a clear breakdown of sources/uses of operating cash flows



Chapter 11 | LO 2

Construct the operating activities section of the statement of cash flows using the direct method. (pp. 487-496)

Direct method: operating cash flows are generally reported under following categories

- ☐ Cash receipts from customers
- ☐ Cash paid to suppliers
- ☐ Cash paid to employees
- ☐ Taxes paid
- ☐ Remember that under IFRS, there is flexibility in classification but the following cash flows are generally reported as operating: interest received, interest paid, and dividends received



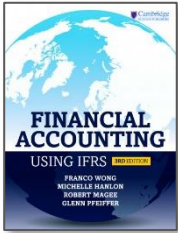
EXERCISE 3: Total Health Limited (THL)

REFLECT: Classify THL's cash flows as operating (CFO), investing (CFI), or financing (CFF).

August Transactions

Ref.	Description	Operating (CFO)	Investing (CFI)	Financing (CFF)
2.1	On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.			
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.			
2.3	On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).			
2.4	On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.			
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.			
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.			
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10.			
2.8	On August 31, THL declared and paid out \$1,000 in dividends.			
	NET CASH FLOWS			

#4 | We can estimate cash flows using the balance sheet and income statement



Chapter 11 | LO 2

Construct the operating activities section of the statement of cash flows using the direct method. (pp. 487-496)

We can estimate cash amounts paid/received using the income statement and balance sheet

- ☐ **Cash received from customers** = revenues – increase in A/R + increase in unearned revenues
- ☐ **Cash paid to suppliers** = COGS + increase in inventory – increase in A/P
- ☐ **Cash paid to employees** = wages expense – increase in wages payable
- ☐ **Cash paid for other operating costs** = other operating expenses + increase in prepaids – increase in accruals
- ☐ **Cash paid for interest** = interest expense - increase in interest payable
- ☐ **Cash paid for income taxes** = income tax expense – increase in income tax payable

Please note that textbook formulas/examples on pp. 490-491 refer to “net income” in calculating cash flows. Please note that this refers to net income impact of specific transactions, such as: 1) **revenues** for cash received from customers; 2) **COGS** for cash paid to suppliers; and 3) **wages expense** for cash paid to employees.



EXERCISE 4.1: Total Health Limited (THL)

REFLECT: Use the financial statements below to estimate cash collected from customers.

Total Health Limited Income Statement For the month ended August 31		
Revenue		\$ 8,500
Cost of goods sold		\$ 2,200
Gross profit		\$ 6,300
Operating expenses		
Rent expense	\$ 1,000	
Advertising expense	\$ 1,000	
Wages expense	\$ 3,000	
Depreciation expense	\$ 100	
Total operating expenses	\$ 5,100	
Operating income	\$ 1,200	
Interest expense	\$ 50	
Net income	\$ 1,150	

Estimated cash collected from customers:



THL Ltd. Balance Sheet As at August 31	Opening balance, July 31	Ending balance, August 31	\$ change
ASSETS			
Current assets			
Cash	\$ 10,000	\$ 8,700	(\$ 1,300)
Accounts receivable	\$ -	\$ 300	\$ 300
Inventory	\$ 3,000	\$ 800	(\$ 2,200)
Prepays and deposits	\$ -	\$ 1,500	\$ 1,500
Total current assets	\$ 13,000	\$ 11,300	(\$ 1,700)
Equipment	\$ 6,000	\$ 5,900	(\$ 100)
TOTAL ASSETS	\$ 19,000	\$ 17,200	(\$ 1,800)
LIABILITIES			
Current liabilities			
Accounts payable	\$ 3,000	\$ -	(\$ 3,000)
Unearned revenue	\$ -	\$ 1,000	\$ 1,000
Interest payable	\$ -	\$ 50	\$ 50
Total current liabilities	\$ 3,000	\$ 1,050	(\$ 1,950)
Bank loan	\$ 6,000	\$ 6,000	\$ -
TOTAL LIABILITIES	\$ 9,000	\$ 7,050	(\$ 1,950)
EQUITY			
Share capital	\$ 10,000	\$ 10,000	\$ -
Retained earnings	\$ -	\$ 150	\$ 150
TOTAL EQUITY	\$ 10,000	\$ 10,150	\$ 150
TOTAL LIABILITIES AND EQUITY	\$ 19,000	\$ 17,200	(\$ 1,800)



EXERCISE 4.2: Total Health Limited – cash flows

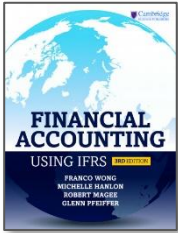
REFLECT: Review the THL transactions (from class 3) below. Notice the purpose of the cash flow statement in explaining the change in cash balance for each transaction. For description of transactions, see the Appendix.

THL Ltd. Balance Sheet As at August 31	Opening balance, July 31	2.1 Aug. 1	2.2 Aug. 1	2.3 Aug. 15	2.4a Aug. 20	2.4b Aug. 25	2.5a Aug. 31	2.5b Aug. 31	2.6 Aug. 31	2.7 Aug. 31	2.8 Aug. 31	ADJ-1 Aug. 31	ADJ-2 Aug. 31	ADJ-3 Aug. 31	Ending balance, August 31
ASSETS															
Current assets															
Cash	\$ 10,000	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)				\$ 8,700
Accounts receivable	\$ -						\$ 300								\$ 300
Inventory	\$ 3,000							(\$ 2,200)							\$ 800
Prepays and deposits	\$ -	\$ 1,000	\$ 1,500		\$ 1,000	(\$ 1,000)								(\$ 1,000)	\$ 1,500
Total current assets	\$ 13,000														\$ 11,300
Equipment	\$ 6,000											(\$ 100)			\$ 5,900
TOTAL ASSETS	\$ 19,000														\$ 17,200
LIABILITIES															
Current liabilities															
Accounts payable	\$ 3,000			(\$ 3,000)											\$ -
Unearned revenue	\$ -									\$ 1,000					\$ 1,000
Interest payable	\$ -												\$ 50		\$ 50
Total current liabilities	\$ 3,000														\$ 1,050
Bank loan	\$ 6,000														\$ 6,000
TOTAL LIABILITIES	\$ 9,000														\$ 7,050
EQUITY															
Share capital	\$ 10,000														\$ 10,000
Retained earnings	\$ -					(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)		(\$ 1,000)	(\$ 100)	(\$ 50)	(\$ 1,000)	\$ 150
TOTAL EQUITY	\$ 10,000														\$ 10,150
TOTAL LIABILITIES AND EQUITY	\$ 19,000														\$ 17,200

Total Health Limited Income Statement For the month ended August 31	2.1 Aug. 1	2.2 Aug. 1	2.3 Aug. 15	2.4a Aug. 20	2.4b Aug. 25	2.5a Aug. 31	2.5b Aug. 31	2.6 Aug. 31	2.7 Aug. 31	2.8 Aug. 31	ADJ-1 Aug. 31	ADJ-2 Aug. 31	ADJ-3 Aug. 31	
Revenue						\$ 8,500								\$ 8,500
Cost of goods sold							\$ 2,200							\$ 2,200
Gross profit														\$ 6,300
Operating expenses														
Rent expense													\$ 1,000	\$ 1,000
Advertising expense					\$ 1,000									\$ 1,000
Wages expense								\$ 3,000						\$ 3,000
Depreciation expense											\$ 100			\$ 100
Total operating expenses														\$ 5,100
Operating income														\$ 1,200
Interest expense												\$ 50		\$ 50
Net income						(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)		(\$ 100)	(\$ 50)	(\$ 1,000)	\$ 1,150

Total Health Limited Statement of Cash Flows For the month ended August 31	2.1 Aug. 1	2.2 Aug. 1	2.3 Aug. 15	2.4a Aug. 20	2.4b Aug. 25	2.5a Aug. 31	2.5b Aug. 31	2.6 Aug. 31	2.7 Aug. 31	2.8 Aug. 31	ADJ-1 Aug. 31	ADJ-2 Aug. 31	ADJ-3 Aug. 31	Month ending August 31
Operating cash flows:														
Cash collected from customers						\$ 8,200			\$ 1,000					\$ 9,200
Payments to employees								(\$ 3,000)						(\$ 3,000)
Payments to suppliers for inventories				(\$ 3,000)										(\$ 3,000)
Payments to other suppliers	(\$ 1,000)	(\$ 1,500)		(\$ 1,000)										(\$ 3,500)
Operating cash flows	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000					(\$ 300)
Investing cash flows														\$ -
Financing cash flows:														
Dividends paid										(\$ 1,000)				(\$ 1,000)
Financing cash flows										(\$ 1,000)				(\$ 1,000)
Net cash flows	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)				(\$ 1,300)
Cash, August 1														\$ 10,000
Cash, August 31														\$ 8,700

#5 | Indirect method reconciles net income to cash flows from operations



Chapter 11 | LO 3

Reconcile cash flows from operations to net income and use the indirect method to compute operating cash flows. (pp. 496-498)

Indirect method reconciles net income to cash flows from operations, explaining the differences between the two values. Key reconciling items include the following:

NET INCOME

- + depreciation/amortization expense
- + non-cash losses, and – non-cash gains
- change in current operating assets
- + change in current operating liabilities

= CASH FLOWS FROM OPERATIONS

Remember that under IFRS, there is flexibility in classification but the following cash flows are generally reported as operating: interest received, interest paid, and dividends received.



EXERCISE 5.1: Total Health Limited – cash flows

REFLECT: Review the THL transactions (from class 3) below. Explain how to reconcile net income to cash flows from operations relating to each transaction.

ADJ-1: EQUIPMENT

Recognize the use of the equipment for 1 month and therefore record the appropriate depreciation for 1 month.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income

2.5 During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income



EXERCISE 5.2: Total Health Limited – cash flows

REFLECT: Use the financial statements below to prepare a reconciliation between net income and cash flows from operations.

Total Health Limited Income Statement For the month ended August 31		
Revenue		\$ 8,500
Cost of goods sold		\$ 2,200
Gross profit		\$ 6,300
Operating expenses		
Rent expense	\$ 1,000	
Advertising expense	\$ 1,000	
Wages expense	\$ 3,000	
Depreciation expense	\$ 100	
Total operating expenses	\$ 5,100	
Operating income	\$ 1,200	
Interest expense	\$ 50	
Net income	\$ 1,150	

THL Ltd. Balance Sheet As at August 31	Opening balance, July 31	Ending balance, August 31	\$ change
ASSETS			
Current assets			
Cash	\$ 10,000	\$ 8,700	(\$ 1,300)
Accounts receivable	\$ -	\$ 300	\$ 300
Inventory	\$ 3,000	\$ 800	(\$ 2,200)
Prepays and deposits	\$ -	\$ 1,500	\$ 1,500
Total current assets	\$ 13,000	\$ 11,300	(\$ 1,700)
Equipment	\$ 6,000	\$ 5,900	(\$ 100)
TOTAL ASSETS	\$ 19,000	\$ 17,200	(\$ 1,800)
LIABILITIES			
Current liabilities			
Accounts payable	\$ 3,000	\$ -	(\$ 3,000)
Unearned revenue	\$ -	\$ 1,000	\$ 1,000
Interest payable	\$ -	\$ 50	\$ 50
Total current liabilities	\$ 3,000	\$ 1,050	(\$ 1,950)
Bank loan	\$ 6,000	\$ 6,000	\$ -
TOTAL LIABILITIES	\$ 9,000	\$ 7,050	(\$ 1,950)
EQUITY			
Share capital	\$ 10,000	\$ 10,000	\$ -
Retained earnings	\$ -	\$ 150	\$ 150
TOTAL EQUITY	\$ 10,000	\$ 10,150	\$ 150
TOTAL LIABILITIES AND EQUITY	\$ 19,000	\$ 17,200	(\$ 1,800)

Net income	
+ depreciation	
- change in accounts receivable	
- change in inventories	
- change in prepaids/deposits	
+ change in accounts payable	
+ change in unearned revenue	
+ change in interest payable	
Operating cash flows	



EXERCISE 5.3: Total Health Limited – cash flows

REFLECT: Explore the similarities and differences between the direct and indirect presentation for the THL statement of cash flows. For description of transactions, see the Appendix. You can use the debriefing notes from transaction analysis to review the impact of each transaction and explore the reconciliations noted below.

Total Health Limited					TRANSACTIONS										Month			
Statement of Cash Flows					2.1	2.2	2.3	2.4a	2.4b	2.5a	2.5b	2.6	2.7	2.8	ADJ-1	ADJ-2	ADJ-3	ending
For the month ended August 31					Aug. 1	Aug. 1	Aug. 15	Aug. 20	Aug. 25	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	August 31
Net income		\$ -	\$ -	\$ -	\$ -	(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)	\$ -	\$ -	\$ -	(\$ 100)	(\$ 50)	(\$ 1,000)		\$ 1,150	
Reconciling items:													\$ 100				\$ -	
+depreciation																	\$ 100	
-change in accounts receivable							(\$ 300)										(\$ 300)	
-change in inventories								\$ 2,200									\$ 2,200	
- change in prepaids/deposits		(\$ 1,000)	(\$ 1,500)		(\$ 1,000)	\$ 1,000										\$ 1,000	(\$ 1,500)	
+change in accounts payable				(\$ 3,000)													(\$ 3,000)	
+change in unearned revenues										\$ 1,000							\$ 1,000	
+change in interest payable														\$ 50			\$ 50	
Operating cash flows		(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)	\$ -	\$ 8,200	\$ -	(\$ 3,000)	\$ 1,000	\$ -	\$ -	\$ -	\$ -	\$ -		(\$ 300)	
Investing cash flows																	\$ -	
Financing cash flows:																		
Dividends paid													(\$ 1,000)				(\$ 1,000)	
Financing cash flows													(\$ 1,000)				(\$ 1,000)	
Net cash flows		(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)						(\$ 1,300)	
Cash, August 1																	\$ 10,000	
Cash, August 31																	\$ 8,700	

Total Health Limited	TRANSACTIONS														Month
Statement of Cash Flows	2.1	2.2	2.3	2.4a	2.4b	2.5a	2.5b	2.6	2.7	2.8	ADJ-1	ADJ-2	ADJ-3	ending	
For the month ended August 31	Aug. 1	Aug. 1	Aug. 15	Aug. 20	Aug. 25	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	August 31	
Operating cash flows:															
Cash collected from customers						\$ 8,200			\$ 1,000					\$ 9,200	
Payments to employees								(\$ 3,000)						(\$ 3,000)	
Payments to suppliers for inventories			(\$ 3,000)											(\$ 3,000)	
Payments to other suppliers	(\$ 1,000)	(\$ 1,500)		(\$ 1,000)										(\$ 3,500)	
Operating cash flows	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000					(\$ 300)	
Investing cash flows														\$ -	
Financing cash flows:															
Dividends paid										(\$ 1,000)				(\$ 1,000)	
Financing cash flows										(\$ 1,000)				(\$ 1,000)	
Net cash flows	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)				(\$ 1,300)	
Cash, August 1														\$ 10,000	
Cash, August 31														\$ 8,700	

APPLIED CASE: Amazon



EXERCISE A1: Amazon – the “story”

Analyze Amazon’s statement of operations (i.e., income statement, below).

REFLECT: How would you describe Amazon’s “story” over the last few years? Prioritize only 3 key ideas.

Amazon.com, Inc. Consolidated Statements of Operations USD \$ in Millions, for the fiscal year ended						
	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021	Dec. 31, 2020
Total net sales	716,924	637,959	574,785	513,983	469,822	386,064
Cost of sales	356,414	326,288	304,739	288,831	272,344	233,307
Gross profit	360,510	311,671	270,046	225,152	197,478	152,757
Fulfillment	109,074	98,505	90,619	84,299	75,111	58,517
Technology and content	108,521	88,544	85,622	73,213	56,052	42,740
Sales, general, admin, and other	62,940	56,029	56,953	55,392	41,436	28,601
Operating income	79,975	68,593	36,852	12,248	24,879	22,899
Interest income	4,381	4,677	2,949	989	448	555
Interest expense	(2,274)	(2,406)	(3,182)	(2,367)	(1,809)	(1,647)
Other income (expense), net	15,229	(2,250)	938	(16,806)	14,633	2,371
Income (loss) before income taxes	97,311	68,614	37,557	(5,936)	38,151	24,178
Benefit (provision) for income taxes	(19,087)	(9,265)	(7,120)	3,217	(4,791)	(2,863)
Equity-method investment activity, net of tax	(554)	(101)	(12)	(3)	4	16
Net income (loss)	77,670	59,248	30,425	(2,722)	33,364	21,331



EXERCISE A2: Amazon – the “story”

REFLECT: Analyze Amazon’s balance sheets. What are your key insights?

Amazon.com, Inc. Consolidated Balance Sheets USD \$ in Millions, as at						
	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021	Dec. 31, 2020
Current assets:						
Cash and cash equivalents	86,810	78,779	73,387	53,888	36,220	42,122
Marketable securities	36,219	22,423	13,393	16,138	59,829	42,274
Inventories	38,325	34,214	33,318	34,405	32,640	23,795
Accounts receivable, net and other	67,729	55,451	52,253	42,360	32,891	24,542
Total current assets	229,083	190,867	172,351	146,791	161,580	132,733
Property and equipment, net	357,025	252,665	204,177	186,715	160,281	113,114
Operating leases	86,054	76,141	72,513	66,123	56,082	37,553
Goodwill	23,273	23,074	22,789	20,288	15,371	15,017
Other assets	122,607	82,147	56,024	42,758	27,235	22,778
TOTAL ASSETS	818,042	624,894	527,854	462,675	420,549	321,195
LIABILITIES AND SHAREHOLDERS' EQUITY:						
Current liabilities:						
Accounts payable	121,909	94,363	84,981	79,600	78,664	72,539
Accrued expenses and other	75,520	66,965	64,709	62,566	51,775	44,138
Unearned revenue	20,576	18,103	15,227	13,227	11,827	9,708
Total current liabilities	218,005	179,431	164,917	155,393	142,266	126,385
Long-term lease liabilities	87,339	78,277	77,297	72,968	67,651	52,573
Long-term debt	65,648	52,623	58,314	67,150	48,744	31,816
Other long-term liabilities	35,985	28,593	25,451	21,121	23,643	17,017
Total liabilities	406,977	338,924	325,979	316,632	282,304	227,791
Stockholders' equity:						
Common stock and additional paid-in capital	140,136	120,975	99,134	75,174	55,543	42,870
Treasury stock, at cost	(7,837)	(7,837)	(7,837)	(7,837)	(1,837)	(1,837)
Accumulated other comprehensive income (loss)	28,230	(34)	(3,040)	(4,487)	(1,376)	(180)
Retained earnings	250,536	172,866	113,618	83,193	85,915	52,551
Total stockholders' equity	411,065	285,970	201,875	146,043	138,245	93,404
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY:	818,042	624,894	527,854	462,675	420,549	321,195

**EXERCISE A3: Amazon – cash flows**

Analyze Amazon's selected statements of cash flows (below).

REFLECT: How does the statement of cash flows help your understanding of Amazon's "story". Please prioritize only 3 key ideas and support them with observations from the statement of cash flows.

Amazon.com, Inc. Consolidated Statements of Cash Flows USD \$ in Millions, for the fiscal year ended						
	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021	Dec. 31, 2020
OPERATING ACTIVITIES:						
Net income (loss)	77,670	59,248	30,425	(2,722)	33,364	21,331
Net cash provided by (used in) operating activities	139,514	115,877	84,946	46,752	46,327	66,064
INVESTING ACTIVITIES:						
Purchases of property and equipment	(131,819)	(82,999)	(52,729)	(63,645)	(61,053)	(40,140)
Proceeds from property and equipment sales	3,499	5,341	4,596	5,324	5,657	5,096
Acquisitions, net of cash acquired, and other	(3,841)	(7,082)	(5,839)	(8,316)	(1,985)	(2,325)
Sales and maturities of marketable securities	44,386	16,403	5,627	31,601	59,384	50,237
Purchases of marketable securities	(54,770)	(26,005)	(1,488)	(2,565)	(60,157)	(72,479)
Net cash provided by (used in) investing activities	(142,545)	(94,342)	(49,833)	(37,601)	(58,154)	(59,611)
FINANCING ACTIVITIES:						
Common stock repurchased	-	-	-	(6,000)	-	-
Proceeds from short-term debt, and other	9,320	5,142	18,129	41,553	7,956	6,796
Repayments of short-term debt, and other	(8,426)	(5,060)	(25,677)	(37,554)	(7,753)	(6,177)
Proceeds from long-term debt	15,673	-	-	21,166	19,003	10,525
Repayments of long-term debt	(5,021)	(9,182)	(3,676)	(1,258)	(1,590)	(1,553)
Principal repayments of finance leases	(1,557)	(2,043)	(4,384)	(7,941)	(11,163)	(10,642)
Principal repayments of financing obligations	(328)	(669)	(271)	(248)	(162)	(53)
Net cash provided by (used in) financing activities	9,661	(11,812)	(15,879)	9,718	6,291	(1,104)
Effects of foreign currency, and other	1,401	(4,331)	265	(1,201)	(366)	681
Net increase (decrease) in cash and cash equivalents	8,031	5,392	19,499	17,668	(5,902)	6,030
CASH, CASH EQUIVALENTS, START OF PERIOD	78,779	73,387	53,888	36,220	42,122	36,092
CASH, CASH EQUIVALENTS, END OF PERIOD	86,810	78,779	73,387	53,888	36,220	42,122



Cash equivalents are short-term, highly liquid financial investments that can be easily converted to a known amount of cash (no real risk of change in value). For example, these could include investments in government debt (bonds) that mature in 90 days or less.



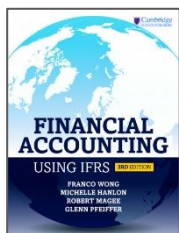
REFLECT: Explain the key items reconciling net income (loss) to cash provided by operating activities.

In 2025, depreciation and amortization was \$65.8 billion

In 2025, an increase relating to inventories of \$3.0 billion

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#6 | Free cash flows = operating cash flow – net capital expenditure (most common definition)



Free cash flow = operating cash flow – net capital expenditure
 = operating cash flows – (purchases of PPE – proceeds from sales of PPE)
 (definition also provided on p. 509)

Free Cash Flow (FCF) indicates how much cash is available for the company to use for expansion, debt reduction, dividends, or other purposes – after maintaining its capital assets.

RESEARCH

Adame, et al (2023) reported the following key ideas in a paper titled “[Free Cash Flow Disclosure in Earnings Announcements](#)”

- ❑ **Free cash flows are a critical component of finance theory**, and are used extensively in **valuation**
- ❑ Disclosure of free cash flows is voluntary and there is **no “GAAP” definition of “free cash flows”**
- ❑ **Disclosure of free cash flows is growing** from about 10% of S&P 1500 in 2004 to about 20% in 2016
- ❑ Free cash flows disclosed **don’t reflect definitions used in finance theory**
- ❑ **Most common definitions: CFO – Capital Expenditure** (noted in 40% of disclosures) and another 21% modify the basic definition by adjusting CFO (e.g. removing irregular items) or adjusting capital expenditure (e.g. by including proceeds from sales of assets and therefore focusing on ‘net’ capital expenditure)



EXERCISE 6: Amazon and free cash flows

REFLECT: Calculate Amazon’s “free cash flow” in 2025 based on the formula provided. Interpret your answer and discuss some difficulties in applying the calculation.

Amazon.com, Inc. Consolidated Statements of Cash Flows USD \$ in Millions, for the fiscal year ended						
	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021	Dec. 31, 2020
OPERATING ACTIVITIES:						
Net income (loss)	77,670	59,248	30,425	(2,722)	33,364	21,331
Net cash provided by (used in) operating activities	139,514	115,877	84,946	46,752	46,327	66,064
INVESTING ACTIVITIES:						
Purchases of property and equipment	(131,819)	(82,999)	(52,729)	(63,645)	(61,053)	(40,140)
Proceeds from property and equipment sales	3,499	5,341	4,596	5,324	5,657	5,096
Acquisitions, net of cash acquired, and other	(3,841)	(7,082)	(5,839)	(8,316)	(1,985)	(2,325)
Sales and maturities of marketable securities	44,386	16,403	5,627	31,601	59,384	50,237
Purchases of marketable securities	(54,770)	(26,005)	(1,488)	(2,565)	(60,157)	(72,479)
Net cash provided by (used in) investing activities	(142,545)	(94,342)	(49,833)	(37,601)	(58,154)	(59,611)

APPENDIX: THL CASE & CASH FLOWS

EXERCISE: Total Health Limited (THL)

Total Health Limited is a new company selling health and fitness products.

REFLECT: Review the transactions below. Consider the impact of each transaction on both cash and earnings. Are they always the same? If not, why not? You can use the debriefing notes from previous class to analyze each transaction in detail.



July Transactions

Ref.	Description
1.1	On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.
1.2	On July 15, THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.
1.3	On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.

August Transactions

Ref.	Description
2.1	On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.
2.3	On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).
2.4	On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10 th .
2.8	On August 31, THL declared and paid out \$1,000 in dividends.

NOTES AND REFLECTIONS

Most important ideas/points:

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